

Five Flats, Three Borders - rent 146,000 GBP - LOCAL WORKING COPY

Report purpose: Tax position memorandum

REVIEW DRAFT · DRAFT · 2026-09-28

Reassess financing before commitment

The recorded assumptions imply an annual cash shortfall of £14,454 before tax and unpriced costs. Rework financing or the acquisition economics, then compare the available ownership routes.

Annual cash flow

-£14,454

Debt coverage

0.87x

Return on known cash

-5.1%

Calculated from supplied inputs; before tax and unpriced costs. Missing costs make available income and cash flow upper bounds. Debt coverage divides income after recorded operating and structure costs by scheduled debt service.

The findings that matter

1. Income does not cover the selected loan payments. Available income is £99,500, against £113,954 annual debt service. The shortfall needs funding; it is not a forecast probability.
2. The model interprets the return target as cash-on-cash (10.0%). Confirm the investor's definition, tax basis and time horizon. Gross yield and principal repayment are different measures.
3. A tax advantage is not established. Recorded tax estimates do not evidence verified rates, deductibility or eligibility. Do not offset the financing shortfall with an assumed tax saving.

Analytical recommendation only. No selected case outcome or independent professional approval is implied.

FINANCIAL FINDINGS

From income to spendable cash

Annual cash bridge	Amount
Gross income	£146,000
Less: operating expenses	£36,500
Surplus before financing and other costs	£109,500
Less: annual structure costs	£10,000
Available before debt and tax	£99,500
Less: selected annual debt service	£113,954
Cash after debt, before tax and unpriced costs	-£14,453.70

Financing and initial cash

Loan £800,000; annual rate 7.5%; term 120 months; monthly amortization. Annual debt service is the unrounded monthly payment multiplied by 12.

Known initial cash: £285,000 = purchase price less borrowing, plus recorded acquisition and setup costs. This is a model input total, not a confirmed all-in budget or a purchaser-specific tax calculation.

Principal repayment is not spendable income

In year one, the loan schedule allocates £58,106.15 to interest and £55,847.54 to principal. Principal reduction builds equity but does not remove the cash shortfall. Interest is not automatically tax-deductible.

SENSITIVITY

What would change the conclusion?

Illustrative income changes of -10%, base and +10%. Operating expenses stay at 25.0% of income; structure costs and loan terms stay unchanged. This is a stated scenario assumption, not a forecast or a verified cost-behaviour model.

Scenario / income	Cash after debt	Debt coverage
-10% · £131,400	-£25,403.70	0.78x
Base · £146,000	-£14,453.70	0.87x
+10% · £160,600	-£3,503.70	0.97x

A modest income increase is insufficient

All three scenarios remain cash-negative before tax and unpriced costs. Test financing, price, costs and additional equity together; do not treat higher rent as an evidenced solution.

Calculated decision thresholds

Cash break-even requires annual gross income of £165,271.60 under this same cost-ratio assumption. It only covers modelled cash costs; it provides no contingency or tax allowance.

The model's 10.0% pre-tax cash-on-cash target requires £203,271.60 annual gross income with initial cash unchanged. This is an algebraic threshold, not achievable market rent or an after-tax return.

Confirm the lender's own income definition and covenant before assessing compliance. No default debt-coverage requirement is assumed here.

RECOMMENDATION AND ACTIONS

A practical route to a decision

Option	Implication / next test
Retain current terms	Requires recurring cash support. Do not describe the base case as self-funding.
Restructure financing or price	Obtain priced alternatives for loan size, term, rate and additional equity. Recalculate cash flow and returns together.
Choose an ownership structure	Compare verified legal availability, full setup/running costs and tax treatment. A preferred structure is not evidence of a tax benefit.
Pause or renegotiate	Preserve the option to stop while material financing, source or legal conditions remain unresolved.

Priority actions before commitment

Proposed owner	Deliverable / completion condition
Case lead / client	Confirm the objective, decision criteria, scope and acceptable downside; reconcile material facts to original evidence.
Finance adviser	Validate income and expenses, obtain the lender schedule and conditions, and complete base/downside/full-cost calculations.
Relevant specialists	Provide current, source-supported legal/tax conclusions for the available routes; identify prerequisites and unresolved risks.
Independent reviewer	Challenge the recommendation and record the actual decision, conditions and approval in the case workflow.

Roles are proposed responsibilities, not assigned tasks or completed approvals.

EVIDENCE AND METHOD

What this assessment rests on

The calculations use the recorded case assumptions; their inclusion does not verify them. Findings are rule-based interpretations of those calculations and visible case records. No independent expert approval, completed scenario run or AI prediction is inferred.

No probabilities are estimated. Currency effects, exit costs, tax and unpriced costs are outside these calculations.

Material assumptions from the case

- Initial deposit is £200,000.
- The acquisition-cost input is 7% of the £1,000,000 price and is provisional rather than a calculated SDLT amount.
- Owner-revised annual gross rent: £146,000. Expenses: $25\% \times £146,000 = £36,500/\text{year}$. Rent after these expenses: £109,500/year before financing and other costs. After £10,000 structure cost and £113,953.70 amortizing debt service, cash flow is – £14,453.70/year before tax and unknown costs. Independent evidence and outcome approval are pending.
- Known initial cash is at least £285,000 before currently unpriced professional, lender, valuation, registration, and reserve costs.
- Scheduled amortizing debt service uses the supplied control of £9,496.14 monthly and £113,953.70 annually, subject to confirmation.
- The lender's minimum DSCR is 1.25x, calculated as NOI divided by scheduled debt service.
- Interest-only debt service of £60,000 annually plus an £800,000 balloon remains a comparison control, not the selected repayment basis.

Tax estimates are excluded from the recommendation. Reconcile the taxable base, finance-cost treatment, rates and their sources before comparing after-tax returns. An amortizing principal repayment is not an interest expense.

Evidence to reconcile

- Five-flat acquisition and amortizing debt profile
- Three-country legal and tax gates require verification
- Client KYC profile

These titles index the recorded material; they do not certify it. Full text, conditions and provenance remain in the case and the full analysis export.

Recorded source references

1. <https://horizonukts.com/guides/non-residents-holding-uk-property>

Case-entered legal reference date: 2026-10-31. This is not a verified legal currency check; future-dated entries require correction.

Reading the measures

Cash flow = gross income – operating costs – structure costs – debt service. Debt coverage = available income ÷ debt service. Cash-on-cash = cash after debt ÷ known initial cash. All figures here exclude tax and unpriced costs. Sensitivities are hypothetical, not likelihood estimates.

The decision tree is omitted. Enable Include decision tree in report settings to add it. Complete records and audit details remain available in Full analysis.